

Impact of Global Interest Rate Hikes on India's GDP Growth

Focusing on the Monetary Policy Transmission Mechanism (2022–2026)

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Abstract: This paper tries to understand how India's economy — specifically its GDP growth — was affected by the global tightening cycle between 2022 and 2026. It focuses on the Monetary Policy Transmission Mechanism (MPTM), which refers to the process through which a change in the RBI's policy interest rate (the repo rate) eventually affects economic activity, credit, prices, and exchange rates. The paper examines three main transmission channels: the interest rate channel, the bank credit channel, and the exchange rate channel, alongside how India managed the Impossible Trinity. The main argument of this paper is that while India was clearly affected by global rate hikes — especially through capital outflows and Rupee depreciation — it showed a surprising degree of resilience. Strong government spending on infrastructure, a booming services sector, and the RBI's smart use of liquidity tools helped the economy maintain above-average growth throughout the period from FY 2022-23 to FY 2025-26.

Keywords: Global interest rate hikes, India's GDP growth, Monetary policy transmission.

1. Introduction

Between 2022 and 2026, the global economy went through one of the most aggressive interest rate tightening cycles in recent history. The reason for this was simple: inflation had come back in a big way after the COVID-19 pandemic. In the United States, consumer price inflation peaked at 9.1% in June 2022¹ — a level not seen since the 1980s. This happened because supply chains were still recovering from the pandemic, and the Russian invasion of Ukraine pushed energy and food prices even higher. In response, the US Federal Reserve started raising interest rates from March 2022 and increased them by a total of 525 basis points (5.25 percentage points) in less than two years. Other major central banks, including the European Central Bank (ECB), followed a similar path.

For a country like India, what happens in the US does not stay in the US. When the Federal Reserve raises rates, global investors tend to move their money out of emerging markets like

¹US Bureau of Labor Statistics (BLS) CPI data; Rodini, L. (2026). Timeline of Fed rate hikes and cuts 2022-2026. TheStreet. The last time US inflation was this high was in December 1981.
<https://www.thestreet.com/fed/fed-rate-hikes-2022-2023-timeline-discussion>

India and into US assets, which now offer higher returns. This leads to capital outflows, a weaker Rupee, and imported inflation — making things more expensive even within India. At the same time, the Reserve Bank of India (RBI) had its own targets to meet. Under India's Flexible Inflation Targeting (FIT) framework, the RBI is required to keep headline CPI inflation at 4%, within a band of $\pm 2\%$.² So the RBI was caught in a difficult position: should it raise rates to protect the Rupee and control inflation, or keep them low to support growth?

This paper tries to understand how India's economy — specifically its GDP growth — was affected by this global tightening cycle. It focuses on the Monetary Policy Transmission Mechanism (MPTM), which refers to the process through which a change in the RBI's policy interest rate (the repo rate) eventually affects economic activity, credit, prices, and exchange rates. The paper examines three main transmission channels: the interest rate channel, the bank credit channel, and the exchange rate channel. It also examines how India managed the Impossible Trinity — the idea that a country cannot have a free capital account, a fixed exchange rate, and independent monetary policy all at the same time.

The main argument of this paper is that while India was clearly affected by global rate hikes — especially through capital outflows and Rupee depreciation — it showed a surprising degree of resilience. Strong government spending on infrastructure, a booming services sector, and the RBI's smart use of liquidity tools helped the economy maintain above-average growth throughout the period from FY 2022-23 to FY 2025-26.

2. Literature Review

2.1 How Global Rate Changes Spill Over into India

The standard starting point for thinking about this kind of problem is the Mundell-Fleming model. This model extends the basic IS-LM framework to an open economy and asks: what happens to output and the exchange rate when monetary policy changes? The key insight for our purposes is that when interest rates rise in a major economy like the US, capital flows out of countries like India because investors can earn higher returns abroad. This puts pressure on the Rupee and forces the RBI to respond.

India has experienced this before. The most dramatic example was the 'Taper Tantrum' of 2013, when the US Fed merely hinted at reducing its bond purchases and the Rupee lost nearly 15% of

²The Flexible Inflation Targeting (FIT) framework was made official through an amendment to the RBI Act in 2016. The 4% target with $\pm 2\%$ band means CPI between 2% and 6% is technically acceptable, but the RBI treats 4% as the true anchor. See RBI (2024), Review of Monetary Policy Framework.

<https://prsindia.org/policy/report-summaries/review-of-monetary-policy-framework-by-rbi>

its value in just a few months.³ The 2022-23 cycle was different in that it was much more aggressive and sustained, but the transmission channels were similar.

Grewal and Trivedi (2021) formally studied how US monetary policy affects India's management of the Impossible Trinity. Their research found that about 20% of the variation in India's capital flows and exchange rate can be explained by changes in US policy, even though India does broadly maintain monetary independence.⁴ Salisu (2024) used a more complex Global VAR model and confirmed that US rate hikes cause the Rupee to depreciate because investors shift their portfolios toward dollar-denominated assets.⁵ An interesting finding from Salisu's work is that Eurozone monetary policy has a much weaker effect on India — most likely because India's trade and financial links are much more closely tied to the US dollar than to the Euro.

2.2 How Transmission Works Inside India

Once an external shock hits India, the question becomes: how does it move through the domestic economy? Joseph and Dash (2025) did a detailed study on this and found that the most powerful transmission channel in India is the credit channel — not the interest rate channel, as is usually assumed in textbook models.⁶ What this means is that when the RBI raises the repo rate, the bigger effect on inflation and output comes not from higher borrowing costs directly changing spending decisions, but from banks cutting back on credit — making loans harder to get. Their estimates suggest a 100 basis point hike reduces inflation by 0.2% through the credit channel, compared to 0.15% through the interest rate channel. Output falls by about 0.78% through both channels combined.

³The 'Taper Tantrum' happened in May 2013 when Fed Chairman Ben Bernanke hinted at reducing bond purchases. The Rupee fell nearly 15% — from around ₹54 to ₹68 per dollar — within a few months, and India experienced severe balance-of-payments stress. This shows how sensitive India is to even signals from the Fed, let alone actual rate hikes. See also: Patnaik, I. & Shah, A. (2015). The Impossible Trinity: Where does India stand? IGIDR Working Paper WP-2015-05. <http://www.igidr.ac.in/pdf/publication/WP-2015-05.pdf>

⁴Grewal, H.S. & Trivedi, P. (2021). Spillover effects of the US monetary policy on the Indian trilemma. International Journal of Emerging Markets. Their study covers 2008–2017 and estimates that around 20% of the variation in Indian capital flows and exchange rates can be attributed to US policy changes. <https://ideas.repec.org/a/eme/ijoemp/ijoem-09-2020-1052.html>

⁵Salisu, A. (2024). India and the Rest of the World: Analyses of International Monetary Policy Spillovers. Bulletin of Monetary Economics and Banking. Uses a GVAR (Global Vector Autoregression) model — a technique that captures how shocks in one country ripple through 33 others simultaneously.

<https://repository.up.ac.za/bitstreams/b9ca3d3c-5b0b-4d0d-a548-2ae806ceec1a6/download>

⁶Joseph, A. & Dash, P. (2025). How does monetary policy transmission happen in India? Ideas for India. Their structural VAR finds that a 100 bps tightening reduces inflation by 0.2% via the credit channel vs. 0.15% via the interest rate channel, and output falls by about 0.78% through both combined.

<https://www.ideasforindia.in/topics/macroeconomics/how-does-monetary-policy-transmission-happen-in-india>

The Bank for International Settlements (BIS) paper on India adds more institutional detail to this picture.⁷ It points out two things that slow down transmission in India. First, many savings instruments — like the Public Provident Fund — have administered interest rates set by the government, not the market. This creates a floor under deposit rates and slows down the pass-through of RBI rate cuts to actual bank rates. Second, since 2019, the RBI has moved to an External Benchmark-based Lending Rate (EBLR) system, which requires new retail and small business loans to be directly linked to the repo rate. This has improved the speed of transmission significantly, though the administered rate problem has not been fully resolved.

3. Data and Methodology

3.1 Data Used

This paper covers the period from FY 2022-23 to FY 2025-26, using quarterly and annual data. The main external shock variable is the US Federal Funds Rate, which went from near zero in early 2022 to a peak of 5.25-5.50% by July 2023, before being cut by 175 basis points through December 2023. The ECB's main refinancing rate is also tracked — it moved from 0% in July 2022 to a peak of 4.50% in September 2023.

To track how the shock transmits into India, the paper looks at the RBI Repo Rate, the USD-INR exchange rate, and net Foreign Portfolio Investment (FPI) flows (sourced from NSDL). The final outcome variables are: real GDP growth rate (at 2011-12 constant prices from MoSPI), Gross Fixed Capital Formation (GFCF) as a measure of investment, Private Final Consumption Expenditure (PFCE) as a measure of household demand, and CPI headline inflation.⁸

3.2 How the Analysis is Done

This is primarily a descriptive and analytical paper rather than an original econometric study. The methodology works in three steps. First, it maps the timeline of Fed rate decisions against the movement of the Rupee and FPI flows to identify the spillover effect. Second, it tracks how the RBI's repo rate decisions fed through to the Weighted Average Call Money Rate (WACR) and bank lending rates to assess the effectiveness of domestic transmission. Third, it breaks down India's GDP by expenditure component (PFCE, GFCF, Government Expenditure) and by sector (Primary, Secondary, Tertiary) to see which parts of the economy were most affected by higher borrowing costs.

⁷Bank for International Settlements (BIS). (2024). Monetary Policy Transmission in India. BIS Papers No. 157. The EBLR reform of October 2019 requires all new floating-rate retail and MSME loans to be directly linked to the repo rate, making banks pass on rate changes much faster than under the old MCLR system.

https://www.bis.org/publ/bppdf/bispap157_i.pdf

⁸MoSPI (2026). First Advance Estimates of National Accounts 2025-26. All figures are at 2011-12 constant prices. These are preliminary estimates subject to revision. The new base year (FY 2022-23) series is expected in early 2026.

https://www.mospi.gov.in/uploads/latestReleases/latest_release_1767781372753_1380ce82-f5a5-440d-99e6-e6b35af0deb5_GDP_Press_Note_on_FAE_2025-26.pdf

The theoretical backbone for the exchange rate analysis is the Uncovered Interest Rate Parity (UIP) condition:

$$i_t = i_t^* + \Delta E_{(t+1)}^e$$

This equation says that the domestic interest rate must equal the foreign rate plus the expected change in the exchange rate.⁹ In simple terms: if the US raises rates and the RBI does not, money flows out of India until the Rupee is weak enough that investors expect it to recover, which makes Indian assets attractive again. This framework helps explain both the depreciation pressure India faced in 2022 and the RBI's decision to raise rates partly in response. Quantitative estimates from published VAR models (particularly Joseph & Dash 2025 and BIS 2024) are used to give some numbers to these relationships rather than just describing them qualitatively.

4. Results

4.1 The Rate Hike Cycle and India's Policy Response

The speed of the Fed's tightening was remarkable. Table 1 below shows the key milestones and what the RBI was doing at the same time.

Table 1: Fed vs. RBI Rate Decisions (2022–2025). Source: US Federal Reserve; Reserve Bank of India, Monetary Policy Reports; Rodini, L. (2026), TheStreet.

Date	Fed Action	Fed Rate Range (%)	RBI Repo Rate (%)
March 2022	Hike +0.25%	0.25 – 0.50	4.00
May 2022	Hike +0.50%	0.75 – 1.00	4.40 (surprise hike)
June 2022	Hike +0.75%	1.50 – 1.75	4.90
September 2022	Hike +0.75%	3.00 – 3.25	5.90
February 2023	—	—	6.50 (RBI peak, paused)
July 2023	Final hike +0.25%	5.25 – 5.50	6.50
September 2024	Cut –0.50%	4.75 – 5.00	6.50 (awaiting data)
December 2025	Cumulative –175 bps	3.50 – 3.75	5.25 (first RBI cut)

⁹The Uncovered Interest Rate Parity (UIP) condition. If the foreign rate rises and the domestic rate does not match it, investors move money abroad, causing the domestic currency to depreciate until expected appreciation compensates. See Obstfeld, M. & Rogoff, K. (1996). Foundations of International Macroeconomics. MIT Press. Also: Wikipedia entry for reference. https://en.wikipedia.org/wiki/Impossible_trinity

Source: Board of Governors of the Federal Reserve System, FOMC Meeting Calendars and Statements (federalreserve.gov); Reserve Bank of India, Monetary Policy Reports, RBI Database on Indian Economy (data.rbi.org.in); Rodini, L. (2026), TheStreet.¹⁰

One of the most important observations here is that the RBI paused its rate hikes in April 2023 — three months before the Fed's final hike in July 2023. This is significant because it shows that the RBI was not simply following the Fed. It made a domestic judgement that inflation was coming under control and that further hikes would hurt growth more than necessary. This 'partial decoupling' from the Fed is central to understanding how India managed to keep its economy growing during this period.

During this cycle, between May 2022 and February 2023, the RBI raised the repo rate by 250 basis points. This was the sharpest tightening in recent Indian history. The ECB also joined the global hike cycle, raising rates from 0% in July 2022 to 4.50% by September 2023 — its first hike in 11 years.

4.2 Impact on GDP Growth

Despite all of this tightening — both globally and domestically — India's GDP growth remained surprisingly strong. After the post-COVID rebound of 9.1% in FY 2021-22, the economy grew 7.0% in FY 2022-23, jumped to 9.2% in FY 2023-24, slowed slightly to 6.5% in FY 2024-25, and is estimated to grow 7.4% in FY 2025-26.¹¹ Table 2 shows the expenditure-side data in more detail.

Table 2: GDP Expenditure Components at Constant (2011-12) Prices. Source: MoSPI First Advance Estimates, 2025-26.

Component	FY 2023-24 (₹ Lakh Crore)	FY 2024-25 (₹ Lakh Crore)	FY 2025-26 Est. (₹ Lakh Crore)
Real GDP (Total)	176.51	187.97	201.90
PFCE (Consumption)	99.07	106.20	113.68
GFCF (Investment)	59.15	63.33	68.29
GFCE (Govt. Spending)	16.70	17.08	17.96

Source: National Statistics Office (NSO), Ministry of Statistics and Programme Implementation (MoSPI), Government of India. "Press Note on First Advance Estimates of GDP, FY 2025-26," released January 7, 2026. Available at: pib.gov.in (PRID: 2212087) and mospi.gov.in Expenditure Components at Constant (2011-12) Prices.¹²

¹⁰ <https://www.thestreet.com/fed/fed-rate-hikes-2022-2023-timeline-discussion>

¹¹ MoSPI Second Advance Estimates (2025) and First Advance Estimates (2026). The 9.2% growth in FY 2023-24 was revised upward from an initial 7.6% estimate — meaning growth that year was even stronger than first reported. Construction grew 10.4% and manufacturing 12.3%. <https://www.pib.gov.in/PressReleasePage.aspx?PRID=2106921>

¹² <https://www.pib.gov.in/PressReleasePage.aspx?PRID=2212087>

Looking at FY 2023-24 specifically, when the repo rate was at its peak of 6.50% — GDP still grew at 9.2%. The main drivers were construction (10.4% growth) and manufacturing (12.3%). This seems counterintuitive: how did investment boom when borrowing was so expensive? The answer lies in government capital expenditure. The central government pushed its infrastructure spending target above ₹11 lakh crore in the 2024-25 Union Budget, which crowd-in private investment rather than crowding it out. Public investment was essentially substituting for what higher interest rates were discouraging in the private sector.

Investment (GFCF) has grown from ₹59.15 lakh crore in FY 2023-24 to an estimated ₹68.29 lakh crore in FY 2025-26, a growth rate of about 7.8%. Consumption (PFCE) has also held up, growing steadily from ₹99.07 lakh crore to ₹113.68 lakh crore over the same period. The slight slowdown in PFCE growth from 7.2% to 7.0% between FY 2024-25 and FY 2025-26 could be partly explained by the interest rate channel working as intended — higher rates making household loans slightly more expensive and dampening some consumption spending.¹³

4.3 The Exchange Rate and Capital Flow Channel

The exchange rate and capital flow channels were the most visible signs of global spillovers affecting India. In FY 2021-22, even before the actual rate hikes began, the mere anticipation of Fed tightening was enough to trigger net FPI equity outflows of ₹1,40,010 crore from Indian markets.¹⁴ The USD-INR exchange rate depreciated from around ₹74 in January 2022 to nearly ₹83 by October 2022 — a drop of about 12%. This made imports more expensive, particularly crude oil, which added to domestic inflationary pressures.

However, an important shift happened in 2024 that changed the nature of capital flows into India. India was included in JPMorgan's Government Bond Emerging Markets Index as of June 2024. This means global bond funds that track this index were now required to hold Indian government bonds. As a result, debt inflows became more stable and less sensitive to Fed decisions. By January 2026, even though equity FPIs pulled out ₹19,015 crore, the debt segment under the Fully Accessible Route (FAR) saw net inflows of ₹6,676 crore. This structural shift in the composition of capital inflows is something that will likely make India more resilient to future Fed-driven volatility.

4.4 The Turnaround: The 'Goldilocks' Period of 2025-26

By late 2025, the macroeconomic picture had changed dramatically. Headline CPI inflation dropped to 0.3% in October 2025 — well below the 4% target. GDP growth was running at 8.2% in Q2 of FY 2025-26. This combination of high growth and low inflation led RBI Governor

¹⁴NSDL FPI Investment Data (2026). The ₹1,40,010 crore equity outflow in FY 2021-22 was among the largest in India's history. India's inclusion in JP Morgan's Government Bond EM Index from June 2024 created a structural source of debt inflows, reducing dependence on fickle equity flows.

<https://www.fpi.nsdl.co.in/Reports/Yearwise.aspx?RptType=5>

Sanjay Malhotra to describe the situation as a 'rare goldilocks period'.¹⁵ In December 2025, the MPC cut the repo rate by 25 basis points to 5.25% — the first cut since the tightening cycle began.

To support this environment, the RBI also used liquidity tools beyond just the repo rate. It deployed a \$5 billion USD/INR swap and conducted Open Market Operations (OMOs) worth ₹1 trillion to ensure that there was enough rupee liquidity in the system.¹⁶ These tools are important because they show how the RBI manages the 'Impossible Trinity' in practice: instead of choosing one corner of the triangle, it uses a combination of managed exchange rate interventions, selective capital flow management, and independent monetary policy to get as close as possible to all three goals simultaneously.

Conclusions

This paper set out to understand how global interest rate hikes between 2022 and 2025 affected India's GDP growth, with a focus on the channels through which monetary policy transmits. Based on the analysis above, a few key conclusions can be drawn.

First, India was clearly affected by global tightening — the Rupee depreciated, FPI outflows were large, and the RBI had to raise rates significantly in response. The Mundell-Fleming framework and the UIP condition both predict this outcome, and the data confirms it. However, the spillovers were not as damaging as they could have been, partly because the RBI intervened actively in the currency market and used liquidity tools to cushion the impact.

Second, the credit channel is the most important transmission mechanism in India, more so than the pure interest rate channel. This means that the RBI's rate decisions work primarily through their effect on bank lending rather than through the cost of borrowing changing spending decisions directly. This has important implications: it means that factors like Non-Banking Financial Companies (NBFCs), which now account for 13.6% of credit-to-GDP, need to be part of the monetary policy picture, not just traditional banks. A rate cut that does not reach NBFCs and their borrowers is a weaker policy than it looks on paper.¹⁷

¹⁵Mishra, L. (2025, December 6). RBI MPC meeting: Repo rate cut to 5.25%. The Hindu. The 'goldilocks' phrase was used by Governor Sanjay Malhotra at the December 2025 MPC press conference — referring to an economy that is simultaneously growing fast and keeping inflation low. <https://www.thehindu.com/business/Economy/rbi-monetary-policy-mpc-repo-rate-cut-updates-december-5-2025/article70360493.ece>

¹⁶ICRA Limited. (2026). Monetary Policy Transmission and G-Sec Yields: 2025-26 Outlook. An OMO (Open Market Operation) is when the RBI buys government bonds from banks to inject rupee liquidity. The USD/INR swap temporarily provides dollars to banks in exchange for rupees — preventing a dollar shortage from crashing the Rupee. <https://www.icra.in/Research/ViewResearchReport/6662>

Third, and perhaps most importantly, India's growth resilience during this period was real and not just statistical. The economy grew 7.0%, 9.2%, 6.5%, and an estimated 7.4% across the four years studied — rates that most advanced economies could only dream of during this period. The key buffers were government capital expenditure, the services sector, and India's index inclusion in global bond markets, which provided a structural floor under capital inflows.¹⁸

There are some limitations to this paper that should be acknowledged. The FY 2025-26 GDP numbers are based on First Advance Estimates and will be revised. Monetary policy works with a lag of 2-4 quarters, meaning the full effects of the December 2025 rate cut will only show up in growth data from late 2026 onwards.¹⁹ There is also uncertainty about the global environment — any change in US trade policy or Federal Reserve leadership (Chairman Powell's term expires in May 2026) could alter the current easing cycle. Despite these limitations, the findings of this paper support the view that India's FIT framework has performed well under external pressure, and that the RBI's management of the Trilemma has been more successful than it sometimes gets credit for.

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¹⁹RBI (2024), BIS Papers No. 157. The 2–4 quarter lag means the full effect of the December 2025 repo cut on bank lending rates and business investment will only be visible in mid-to-late 2026 GDP data. This is one reason why the RBI sometimes acts early — to get ahead of the lag. https://www.bis.org/publ/bppdf/bispap157_i.pdf

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